



GOVERNANCE DOCUMENT

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RELATED DOCUMENTS	Code of Ethics and Standards of Professional Conduct Ethics Policy Privacy Policy Publications and Editorial Policy Conflict of Interest Policy CPD Policy Membership Regulations Member Admission Framework Disciplinary Policy Document Retention Policy

This document forms part of the official governance framework of the International Society of Equity Analysts (ISEA) and should be read together with the related documents listed above.

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1. Purpose

Artificial intelligence (AI) and other emerging technologies offer significant opportunities to enhance the quality, efficiency and accessibility of equity research, analysis and professional practice. The International Society of Equity Analysts (ISEA) supports the responsible adoption of these technologies by its Members, Governing Council, committees, officers, employees and the Society itself.

This AI and Emerging Technology Policy ("Policy") sets out the principles and requirements governing the use of AI tools by internal stakeholders, Members and ISEA in its own operations, so that such use is accurate, transparent, secure and consistent with ISEA's ethical standards.

ISEA is committed to being a forward-looking professional body that embraces innovation, while remaining technologically responsible. This Policy reflects the principle that AI tools may assist and augment professional judgement, but do not replace the accountability, diligence and independent analysis that the equity research profession requires.

This Policy operates alongside the Code of Ethics and Standards of Professional Conduct ("Code"), the Ethics Policy, the Privacy Policy, the Publications and Editorial Policy, the Conflict of Interest Policy and other applicable ISEA policies, which continue to apply in addition to the requirements set out in this Policy.

2. Scope and Application

This Policy applies to:

- the Governing Council, committees, officers and employees of ISEA ("Internal Stakeholders");
- Student Members, Associate Members, Members and Fellows (together, "Members") in the conduct of their professional activities as equity analysts and in their participation in ISEA activities;
- authors, contributors, reviewers and editors involved in ISEA Publications, in addition to the requirements of the Publications and Editorial Policy; and
- contractors, volunteers and other external stakeholders engaged by ISEA who use AI tools in connection with work performed for or on behalf of ISEA.

This Policy applies to the use of generative AI, machine learning models, large language models, automated data-analysis tools and other emerging technologies (together, "AI Tools"), whether accessed directly, embedded within other software, or provided by a third-party vendor.

Where a Member's use of AI Tools relates to services provided to their own clients or employer, this Policy applies to the extent that such use touches upon the Member's obligations to ISEA, the Code and ISEA's professional standards, and does not purport to override the Member's own employer's policies or applicable law.

3. Permitted AI Use

AI Tools may be used to support professional and administrative activities, provided that such use is consistent with this Policy, the Code and applicable law.

3.1 Acceptable Uses

Subject to the requirements of this Policy, AI Tools may generally be used for purposes such as:

- preliminary research, literature review and summarisation of publicly available material;
- drafting assistance, language editing, translation and formatting of documents and correspondence;
- data processing, cleansing and exploratory analysis, subject to verification of outputs;
- administrative tasks, including scheduling, membership processing and routine correspondence; and

- the creation of training, educational or illustrative material, provided that AI-generated content is reviewed prior to use.

3.2 Restricted or Prohibited Uses

AI Tools shall not be used to:

- generate final investment recommendations, ratings or conclusions without the required degree of human oversight and verification set out in this Policy;
- fabricate, alter or misrepresent data, sources, quotations or credentials;
- process confidential, non-public or personal information other than through channels approved in accordance with this Policy; or
- circumvent ISEA's ethical, disciplinary, admission or assessment processes, including through the impersonation of a Member or use of AI Tools to complete assessments or examinations in a manner inconsistent with applicable rules.

4. Verification of AI-Generated Material

Any person using an AI Tool remains fully responsible for verifying the accuracy, reliability and appropriateness of the material produced, before that material is relied upon, published, submitted or otherwise used.

Verification shall, at a minimum, include:

- checking factual claims, figures, citations and sources against reliable primary sources;
- reviewing the output for logical consistency, relevance and completeness;
- confirming that AI-generated content does not include material that is confidential, proprietary or subject to intellectual property rights of a third party; and
- applying the professional judgement expected of the person's role before the material is finalised or relied upon.

AI-generated material that has not been verified in accordance with this section shall not be represented as ISEA's official position, as verified research, or as the personal analysis of a Member.

5. Confidentiality

Confidential or non-public information belonging to ISEA, its Members, employers, clients or other third parties shall not be entered into an AI Tool unless that AI Tool is approved by ISEA (or, in the case of a Member's own professional activities, by their employer) and appropriate contractual and technical safeguards are in place.

In particular, Internal Stakeholders and persons acting on behalf of ISEA shall not input into an unapproved AI Tool:

- unpublished ISEA research, examination content or assessment material;
- Governing Council or committee deliberations, or other internal governance material;
- information subject to legal privilege or a duty of confidentiality; or
- material that is commercially sensitive to ISEA or a third party.

This section applies in addition to, and does not limit, any confidentiality obligations set out in the Code, the Ethics Policy or a Member's or employee's contractual arrangements with ISEA.

6. Personal Information

Personal information relating to Members, employees, applicants or other individuals shall only be processed using an AI Tool in accordance with the Privacy Policy and applicable data protection law.

In particular:

- personal information shall not be entered into an AI Tool that retains, trains on, or otherwise uses that information beyond the purpose for which it was provided, unless appropriate safeguards and consents are in place;
- personal information shall be minimised, anonymised or de-identified where practicable before use in connection with an AI Tool; and
- AI Tools shall not be used to profile, assess or make automated decisions materially affecting an individual (such as membership admission or disciplinary outcomes) without appropriate human review, in accordance with the Membership Regulations, the Member Admission Framework and the Disciplinary Policy.

Any use of AI Tools involving personal information shall be conducted on a lawful basis and shall respect the rights of individuals under the Privacy Policy and applicable law.

7. Research Data

Where AI Tools are used to source, process or analyse data for research or publication purposes, the person responsible shall ensure that:

- data is drawn from reliable, appropriately licensed or publicly available sources;
- the provenance, currency and limitations of the data are understood and, where relevant, disclosed;
- proprietary or licensed datasets are used only in accordance with the terms of the applicable licence; and
- data outputs generated or transformed by an AI Tool are checked for accuracy before being relied upon in research, analysis or an ISEA Publication.

Research data processed using AI Tools remains subject to the record-keeping requirements of the Document Retention Policy and, where applicable, the peer review and editorial requirements of the Publications and Editorial Policy.

8. Hallucinations and Fabrication

AI Tools may generate content that appears plausible but is inaccurate, fabricated or unsupported by any genuine source ("hallucinated" content). Users of AI Tools shall take reasonable steps to identify and eliminate hallucinated content before it is relied upon or published.

Reasonable steps include:

- independently verifying any factual claim, statistic, citation or quotation generated by an AI Tool;
- confirming that any source, case, article or publication referenced by an AI Tool genuinely exists and supports the proposition for which it is cited; and
- exercising particular caution with AI-generated content concerning specific figures, dates, financial data or attributed statements, which are especially prone to fabrication.

The knowing publication, submission or use of hallucinated or fabricated content generated by an AI Tool, without disclosure, may constitute a breach of this Policy and the Code, and may be referred for consideration under the Disciplinary Policy.

9. Attribution

Where an AI Tool has made a substantive contribution to research, analysis, written material or an ISEA Publication, the use of that AI Tool shall be appropriately disclosed.

In particular:

- AI Tools shall not be named or credited as an author or co-author, as authorship requires a degree of accountability that only a natural person can bear;
- the person relying on AI-generated material remains the accountable author or preparer, and shall disclose the nature and extent of AI assistance where required by this Policy, the Publications and Editorial Policy, or applicable submission or professional standards; and
- attribution of underlying sources, data and third-party material identified with the assistance of an AI Tool shall follow ordinary citation practice, verified against the original source.

This section applies in addition to, and is consistent with, the attribution and AI-disclosure requirements set out in the Publications and Editorial Policy.

10. Plagiarism

The use of an AI Tool does not diminish a person's obligation to avoid plagiarism. Content generated by an AI Tool may itself reproduce, closely paraphrase or otherwise draw upon the work of others without adequate attribution, and users shall take reasonable steps to identify and correct this before the material is used or published.

Members, authors and Internal Stakeholders shall not:

- present AI-generated material as their own original work where it substantially reproduces the work, ideas or analysis of another person without attribution;
- use an AI Tool to disguise or rephrase plagiarised material in a manner intended to evade detection; or
- submit AI-generated coursework, assessment or examination responses in a manner inconsistent with applicable membership admission or continuing professional development requirements.

Suspected plagiarism involving AI-generated content shall be addressed in accordance with the Publications and Editorial Policy, the Member Admission Framework, the Membership Regulations and the Disciplinary Policy, as applicable.

11. Automated Investment Analysis

ISEA recognises that AI Tools are increasingly capable of generating automated financial models, valuations, ratings and investment commentary. Such tools may be used to support, but shall not replace, the independent professional judgement required of equity analysts.

11.1 Use in Research and Publications

Automated investment analysis generated with the assistance of an AI Tool may be used as an input to an ISEA Publication or professional work product, provided that it is verified in accordance with this Policy and reviewed by a suitably qualified person before publication or use.

- Outputs of automated investment analysis shall not be published or relied upon as a final recommendation without independent review of the underlying assumptions, data and methodology.
- Where automated analysis materially informs a published view or recommendation, that fact should be disclosed in accordance with the Publications and Editorial Policy.

11.2 Restrictions on Fully Automated Advice

AI Tools shall not be used to issue investment recommendations, ratings or advice under ISEA's name, or purportedly on behalf of a Member, without meaningful human review and accountability, consistent with the human oversight requirements set out in this Policy.

- A person shall not represent automated output as their own independent analysis where it has not been substantively reviewed and adopted as such.

- Members remain subject to the standards of diligence, competence and independence set out in the Code, irrespective of the extent of AI assistance used.

12. Member Use of AI

Members are encouraged to develop proficiency in the responsible use of AI Tools as part of maintaining technical competence, consistent with the CPD Policy.

12.1 Professional Use

Where a Member uses AI Tools in the course of their professional activities as an equity analyst, the Member shall apply the standards set out in this Policy and the Code, including verification, attribution, confidentiality and human oversight requirements, in addition to any policies of their employer.

12.2 Use in Connection with ISEA Activities

Where a Member uses AI Tools in connection with ISEA activities, including membership applications, continuing professional development submissions, examinations or ISEA Publications, the Member shall comply with this Policy and any applicable publication-, admission- or assessment-specific requirements.

12.3 Misuse by Members

Misuse of AI Tools by a Member in a manner inconsistent with this Policy or the Code, including fabrication, undisclosed reliance on AI-generated material, or use of AI Tools to circumvent ISEA's admission, assessment or disciplinary processes, may be referred for consideration under the Disciplinary Policy.

13. ISEA's Own Use of AI

ISEA may itself adopt AI Tools to support its operations, governance and publications, in a manner consistent with this Policy and ISEA's commitment to being technologically responsible.

13.1 Internal Operations

ISEA may use AI Tools in its own operations for purposes such as:

- membership administration, correspondence and enquiry handling, subject to appropriate human review of substantive decisions;
- research support, drafting assistance and editorial support in connection with ISEA Publications, subject to the Publications and Editorial Policy; and
- data analysis and reporting in support of the Governing Council and committees.

13.2 Governance and Approval

The adoption of any AI Tool for use in ISEA's operations shall be approved by the Executive Secretariat, having regard to matters such as data security, confidentiality, vendor reliability and consistency with this Policy and the Privacy Policy.

- ISEA shall maintain a record of AI Tools approved for use in its operations.
- Internal Stakeholders shall not adopt AI Tools for use in ISEA's operations other than those approved in accordance with this section.

14. Human Oversight

Human oversight and accountability are central to the responsible use of AI Tools within ISEA. AI Tools shall be treated as a means of supporting, not substituting for, human judgement and decision-making.

14.1 Human-in-the-Loop Requirements

A qualified natural person shall review and remain accountable for:

- any material generated or materially informed by an AI Tool prior to its publication, submission or use;

- any decision materially affecting a Member or applicant, including admission, disciplinary or assessment decisions, notwithstanding any AI-generated recommendation or analysis; and
- any investment analysis, rating or recommendation generated or materially informed by an AI Tool prior to its release.

14.2 Accountability

Responsibility for the accuracy, integrity and consequences of AI-assisted work rests with the person or body that relies upon, publishes or acts upon that work, and not with the AI Tool itself or its provider.

- Reliance on an AI Tool does not excuse non-compliance with this Policy, the Code or any other applicable ISEA policy.
- Internal Stakeholders and Members should escalate concerns about the reliability, security or appropriateness of a particular AI Tool to the Executive Secretariat.

15. Review and Continuous Improvement

Given the pace of development of AI and emerging technologies, ISEA shall review this Policy on a regular basis to ensure that it remains fit for purpose, having regard to:

- developments in AI capability, regulation and industry practice;
- emerging risks, including in relation to data security, bias, accuracy and misuse;
- experience gained from the practical application of this Policy; and
- feedback from Members, Internal Stakeholders and other relevant parties.

The Executive Secretariat shall recommend amendments to this Policy where appropriate, subject to approval by the Governing Council.

16. Effective Date

This AI and Emerging Technology Policy takes effect on the date approved by the Governing Council.